

earn more than if he didn't. All it means is that taking the whole population, average people who have more education tend to earn more than average people who have less education. Doctors earn more than carpenters. Engineers earn more than backhoe operators. But the average person earns an average salary. Obviously, if you want to earn an average salary, you are better off in a field where the average salary is high.

But what about earnings that are not average? What about the fellow who was going to be a doctor and instead decides to start a business of his own or goes to work for a pharmaceutical company? Would he be better off with more years of book learning or more years on the job?

To ask the question another way, would Bill Gates have had more success if he had stayed in Harvard and gone on to law school? We don't know. But it is unlikely.

STAY IN SCHOOL?

To turn to a more common example, what about the child who is destined to enter the family firm? Is he better off spending more time in school or going right to work? Almost every parent would say, "Let him stay in school as long as possible." If pushed to identify the merits of further education, the parent would say, "It can't hurt."

But maybe it *can* hurt.

People learn, no matter where they are and what they do. So the real question is, where are they likely to learn more, or which kind of learning will be more valuable?

Book learning has a value, especially in the sciences. But if the hypothesis of "Compound Effort Over Time" is correct, it may be more valuable to begin early accumulating the instincts, experience, and hunches that prove so valuable in real life. Plus, not only may time spent in school be less productive, it may undermine the process of accumulating real and useful knowledge.

Much of what is taught—depending on the discipline—is not knowledge at all. It is nothing more than intellectually fashionable claptrap that later proves to be completely false. Imagine the poor family that sends a child to